

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02315

Report ID:	AR-02315
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	April 03, 2024
Audit Period:	2023-12-14 to 2024-03-24
Lead Auditor:	Kyle Rush (EMP-12413)
Reviewed By:	Kayla Garza (EMP-8363)
Primary Vendor Reference:	TrueNorth Services Group (VND-04807)
Subject Employee Reference:	Isabel Gray (EMP-15033)
Primary Transaction Reference:	TXN-C2076829355
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2023-12-14 to 2024-03-24 and examined transactions, approvals, and compliance records associated with vendor TrueNorth Services Group (VND-04807) and employee Isabel Gray (EMP-15033). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C2076829355 (amount 128,040.13 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00269 1	HIGH	APPROVAL LIMIT	Payment of \$388,475 approved at Level 2, which has a limit of \$100,000. Transaction exceeded limit by \$42,552.
FND-00392 5	LOW	POLICY BREACH	Claim EXP-186689 violates Policy POL-0016 section 4.2: Marketing expenditure capped at \$25,000 per event.

Finding ID	Severity	Category	Description
FND-003542	MEDIUM	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0008 requires receipts for all claims above \$100.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002127	CONTRACT RECORD	EVD-IEZ-9342	0.55
EVI-005124	EXPENSE CLAIM	EVD-EVS-2102	0.52
EVI-005423	EXPENSE CLAIM	EVD-OXJ-7089	0.72
EVI-005928	EXPENSE CLAIM	EVD-TTS-9258	0.63
EVI-007429	AUDIT REPORT	EVD-UUY-3207	0.79
EVI-009431	VENDOR RECORD	EVD-PVT-1897	0.71

5. RECOMMENDATIONS

- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Kyle Rush	EMP-12413	2024-04-03
Reviewing Officer	Kayla Garza	EMP-8363	2024-04-05